

Eurocell plc **ECEL LN**

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by

Sebar

			2026	2027
Price:	1.25	EPS	0	0
Shares Out. (in M):	99	P/E	0	0
Market Cap (in \$M):	124	P/FCF	0	0
Net Debt (in \$M):	94	EBIT	0	0
TEV (in \$M):	218	TEV/EBIT	0	0

Description

Exec summary: the market is valuing roughly 15p of earnings as normal. I estimate normalized earning power at 19-20p, driven by identifiable self-help and Alunet, without requiring a UK housing recovery

Eurocell is being valued as a weak UK housing stock. That misses the setup.

The company is taking more than GBP5 million of annual costs out of the business, Alunet is growing at double digits, and organic sales turned positive before any meaningful recovery in UK construction. At 125p, the shares trade at roughly 7.5x my estimate of 2026 earnings. Current earnings appear to understate normalized earning power by about 25%.

The thesis does not require a housing boom. It requires management to deliver savings already tied to specific branches, recycling facilities and headcount actions. It also requires Alunet to continue performing reasonably well and the core business to maintain broadly stable volumes.

Eurocell earned 14.6p of adjusted EPS in 2025. My earnings bridge supports approximately 19-20p once the restructuring is complete. At 10x earnings, that produces a value around 200p. Dividends lift total prospective value to 210-220p. A stronger outcome, with 22p of EPS and an 11x multiple, supports roughly 250p.

The downside is meaningful. Eurocell carries approximately GBP94 million of lease-adjusted net debt, competes in price-sensitive markets and reports too many adjustments. If volumes weaken and the savings are competed away, earnings could fall to 10-12p and the stock could trade between 70p and 85p.

This is an attractive setup rather than a flawless business: roughly 60% upside to the undivided base case, close to 100% in the upside case and around 35% downside in a conventional recession scenario.

Business Overview

Eurocell manufactures PVC window and door profiles, recycles PVC and distributes windows, doors, roofline products and related building materials through a national branch network. Customers include trade fabricators, housebuilders, installers and small contractors.

Vertical integration provides control over product availability, recycled content and distribution. The branch estate gives Eurocell direct access to tradespeople who value local inventory and rapid fulfillment. It also brings fixed costs and substantial lease obligations. The branches are both a competitive asset and an economic liability.

Eurocell generated GBP403.5 million of revenue and GBP24.1 million of adjusted operating profit in 2025. Adjusted EPS was 14.6p, net cash generated from operations was GBP48.4 million, and GBP11.4 million was returned through dividends and repurchases.

Business	What it does	Investment relevance
Profiles	Manufactures PVC profiles for fabricators and housebuilders.	Most exposed to new-build and RMI weakness.
Branch Network	Distributes building products through a national trade network.	Local availability is useful, but leases create fixed obligations.
Alunet	Supplies aluminium systems, composite doors and garage doors.	Faster growth and materially higher margins than the legacy group.

Why the Opportunity Exists

The market has reasonable grounds for skepticism. New-build housing remains weak, RMI activity is subdued, labor costs are rising and Profiles revenue declined 5% in H1 2026. Branch pricing also remains competitive.

The accounts require work. Eurocell recorded GBP9.6 million of non-underlying charges in H1 2026, including restructuring, impairments and ERP costs. Adjusted operating profit increased 10% to GBP11.1 million, yet statutory profit before tax was a GBP1.4 million loss.

Leverage is the other concern. Pre-IFRS 16 net debt rose from GBP3.1 million at the end of 2024 to GBP22.1 million at the end of 2025, then to GBP28.1 million at June 2026. Including leases, net debt was GBP93.7 million.

At 125p, equity value is about GBP124 million, but lease-adjusted enterprise value is close to GBP215 million. Investors are not buying an unlevered company

at seven times earnings. They are buying equity behind a meaningful lease burden and deferred acquisition obligations.

This is not a refinancing situation. Pre-IFRS 16 leverage was 0.8x EBITDA, the revolving credit facility runs to 2030 and H1 operating cash flow was GBP17.9 million. The balance sheet raises the hurdle for the equity; it does not invalidate the case.

The Market Is Valuing Depressed Earnings as Normal

Management has identified more than GBP5 million of annual savings. Alunet is growing and contributing more profit than its acquisition-year base. Organic volumes have turned positive despite weak end markets. Together, those factors support my normalized EPS estimate of approximately

19-20p.

Earnings driver	estimate
2025 adjusted EPS	14.6p
Retained restructuring and branch savings	+3.0p

Alunet growth and product mix	+2.0p
Core volume improvement	+1.0p
Wage inflation, pricing and financing leakage	-1.5p
Normalized EPS	19.1p

The bridge gives Eurocell less than the full after-tax value of management's cost target. More than GBP5 million of pretax savings would theoretically add almost 4p per share after tax. I assume only 3p reaches owners because labor inflation, reinvestment and competition will absorb part of the gross benefit.

This is the key judgment in the write-up. If cost savings merely prevent margin deterioration, the stock may remain cheap. If even a reasonable portion reaches earnings, the current valuation is difficult to justify.

Value Driver 1: The Cost Program

Management is consolidating recycling capacity, reducing headcount and optimizing the branch estate. Ten branches were closed in July 2026. The broader program should produce more than GBP5 million of annual savings, with about GBP2 million realized during 2026 and the fuller benefit visible thereafter.

The target equals more than 20% of 2025 adjusted operating profit. The actions are identifiable rather than aspirational: plants are being consolidated, branches are closing and headcount is being reduced.

The central risk is retention. In a competitive market, cost improvements can be passed to customers through lower prices. The thesis does not rerate if every pound saved is eventually competed away.

Value Driver 2: Alunet

Eurocell acquired Alunet in March 2025 for GBP29 million on a cash-free and debt-free basis, including GBP22 million upfront and approximately GBP7 million of deferred consideration. Up to GBP6 million of additional consideration is payable if performance targets are met.

Alunet generated GBP43 million of revenue and GBP4.5 million of EBITDA in 2024, so Eurocell paid 6.5x historical EBITDA.

Initial performance is strong. Alunet generated GBP28.4 million of sales and GBP4 million of adjusted operating profit in H1 2026, while calendar sales rose 13%. Its first-half operating margin was approximately 14%, compared with a group adjusted operating margin of 5.4%.

I do not annualize the H1 result mechanically. Seasonality, earn-out obligations and the possibility that recent share gains normalize all matter. Even so, the acquisition has broadened Eurocell into aluminium systems, premium composite doors and garage doors, and it is currently creating rather than destroying value.

The subsequent GBP5 million acquisition of ATT Fabrications was announced in September 2026 to extend the garden-room offering. The amount is small, but it reinforces the need for management to prioritize deleveraging before undertaking another material transaction.

Value Driver 3: Improvement Before Housing

Organic sales and volumes increased 1% in H1 2026. The progression was more useful than the headline: organic sales fell 2% in Q1, rose 4% in Q2 and reportedly grew about 4-5% in July and August.

Growth measure	H1 2026
Branch Network sales	+5%

Windows and doors	+29%
E-commerce	+49%
Alunet calendar sales	+13%
Strategic initiatives	+GBP6.6m revenue

Profiles remains weak and general branch RMI demand is still under pressure. Even so, Eurocell is gaining traction in targeted categories before receiving meaningful macro assistance. A housing recovery would add operating leverage, but it is not required for the initial earnings normalization.

Valuation

I value Eurocell on earnings after rent and financing costs. A pre-IFRS 16 EBITDA multiple understates the economic cost of the branch network.

Scenario	EPS	Multiple	Share value	Including dividends
Low-multiple check	20p	8x	160p	170-175p
Base case	20p	10x	200p	210-215p
Upside case	22p	11x	242p	252-257p

The low-multiple check is important. Even if the market refuses to award more than 8x earnings, 20p of normalized EPS supports 160p before dividends. The thesis therefore does not depend entirely on rerating to 10x or 11x.

A 10x base-case multiple is appropriate for a modest-quality building-products company with improving earnings, manageable financial debt and meaningful lease obligations. It does not assume Eurocell becomes a premium compounder.

Risks and Downside

Pricing pressure absorbs the savings. This is the central risk. If the cost program merely prevents margin deterioration, normalized EPS may remain around 15-16p. At 8x earnings, the shares would be worth about 120-128p.

End-market volumes deteriorate. A deeper UK RMI and housing downturn would reduce utilization across manufacturing and distribution. At 12p of EPS and a 7x multiple, the shares would be worth about 84p.

Alunet slows. If annual operating profit settles near GBP5 million instead of the current annualized run rate, normalized EPS could fall toward 17-18p. Fair value would decline to approximately 140-165p.

Leases limit flexibility. Weak branches cannot always be exited immediately. Lease surrenders, continued rent and cash closure costs could delay deleveraging and keep the valuation at 7-8x.

Adjustments remain recurring. H1 non-underlying items of GBP9.6 million were almost as large as adjusted operating profit. If this pattern continues, adjusted earnings will overstate distributable cash.

Management pursues another material acquisition. Another debt-funded deal before the group absorbs Alunet and the restructuring would shift value toward creditors and sellers and delay accretive repurchases.

Scenario	EPS	Multiple	Implied value	Change from 125p
Severe downturn	10p	7x	70p	-44%
Conventional downside	12p	7x	84p	-33%
Stagnation	16p	8x	128p	+2%
Base case	20p	10x	200p	+60%
Upside case	22p	11x	242p	+94%

Dividends are excluded. I use 75-90p as the practical downside range rather than rely on liquidation value.

What Would Disprove the Thesis?

The investment should be reconsidered if organic sales return to persistent declines, less than half of the cost target is retained, Alunet growth falls below the group average, adjusted items remain above roughly GBP5 million annually after 2026, or pre-IFRS 16 leverage rises materially above 1.5x. A further large acquisition before deleveraging would also be a clear negative signal.

Conclusion

Eurocell is not a high-quality compounder. Current returns on capital are mediocre, leases are substantial and the core markets are competitive. It does not need to become a high-quality compounder for the stock to work.

The market is valuing roughly 15p of earnings as normal. My bridge supports 19-20p through actions already underway: more than GBP5 million of identified savings, continued Alunet growth and modest improvement in organic volumes.

At 10x normalized earnings, the shares are worth about 200p. Dividends increase prospective base-case value to 210-220p. Even at 8x, 20p of earnings supports 160p. A modest housing recovery and 22p of EPS support approximately 250p.

The crucial evidence should arrive through 2027. Organic growth must persist. Savings must reach operating profit and cash. Pre-IFRS 16 net debt must fall. The restructuring adjustments must stop.

If those conditions are met, Eurocell should no longer trade as a structurally impaired housing supplier. At 125p, that distinction is worth paying attention to.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

- Sustained positive organic sales and volume growth. H1 2026 organic sales and volumes increased 1%, improving from -2% in Q1 to +4% in Q2. Further positive periods would demonstrate that company initiatives are offsetting weak housing markets.
- Delivery of the restructuring programme. Management expects more than £5 million of annual savings, with approximately £2 million expected in 2026. Investors should focus on profit and cash-flow conversion rather than headline savings targets.
- Future capital returns. Once debt declines and restructuring is largely complete, renewed buybacks could be highly accretive at the current valuation

Messages

Subject	Questions
Entry	09/14/2026 01:26 PM
Member	unfundad
Thanks for sharing Sebar. I like this setup. They have been holding their own in a very tough environment and I believe this is a coiled spring if the newbuild/RMI markets ever improve. A few questions: 1. Do you have insight into why the old CEO was removed? 2. I have always been puzzled by the branch network. They continue to open branches despite generating no profit from them. Is it a case of the branches feeding the profiles division, or is there a genuine opportunity for foot print consolidation and other improvement here? 3. Wouldn't this company be better in someone else's hands, and who might that be? I have always thought a construction materials distribution business could generate material synergies by moving a substantial number of the branches into their own facilities and simply removing those operating/lease costs from the business while retaining the revenue. Any thoughts? Thanks.	
Subject	Re: Questions
Entry	09/15/2026 04:47 AM
Member	Sebar

#1

Not really, and I think that is one of the few areas where investors should be careful about inventing a narrative. The official announcement was unusually abrupt. Darren Waters stepped down with immediate effect in February 2026 and was replaced by Will Truman. The board's explanation was that, given the importance of 2026, it wanted "surety of leadership and a seamless handover." There was no reference to performance issues, governance concerns or strategic disagreements.

What makes it slightly puzzling is that most of the strategic actions underway today were initiated during Waters' tenure. The Alunet acquisition, the window-and-door growth strategy, branch expansion and much of the cultural change were all credited to him by the chairman when he left.

My interpretation is that the change was more likely board-driven than operationally driven. The company had entered the execution phase of the strategy rather than the development phase. That is only speculation, however. I have not found any disclosure that convincingly explains the decision.

From an investment perspective, I do not view it as a major concern. The strategy appears largely unchanged and, if anything, management has become more aggressive on profitability since the transition, as evidenced by the branch closures, recycling consolidation and broader restructuring programme.

#2

I think the answer is probably "both."

Historically, Eurocell's strategy was heavily based on branch expansion. The network grew from roughly 141 branches at IPO to more than 200 branches, with management explicitly describing branch rollout as a growth engine and a route to market for both manufactured profile and bought-in products.

The branch economics are not particularly attractive on a standalone basis. That is one reason margins diluted from IPO levels even as revenue grew. The branch network sells a broader mix of bought-in goods and naturally earns lower margins than manufacturing. What investors often miss is that Eurocell is not a pure distributor. The branches create demand for the manufacturing business and provide a direct route to installers and small trade customers. Management has repeatedly highlighted opportunities to pull profile, hardware, windows and doors through the branch network. The strategic rationale has always been that branches support share gains in the manufacturing operations rather than simply generate branch profit.

The reason I find the current situation more interesting is that management appears to have changed its view on branch density. The H1 2026 restructuring includes branch-footprint optimisation, and ten branches were closed in July. Management is now openly consolidating sites and targeting profitability rather than simply growing coverage. That suggests they may have reached the point where the network is large enough and where incremental branches no longer produce attractive returns. So I do think there is a genuine opportunity for branch rationalisation. The key question is whether they can remove underperforming sites without damaging the manufacturing pull-through effect that originally justified the network.

#3

I think there is a reasonable argument for that. Eurocell has always struck me as an asset that might be worth more inside a larger platform than as a standalone listed company. The branch estate is the obvious place where synergies could exist. A larger building-products distributor with overlapping infrastructure could potentially eliminate duplicate branches, warehouses and support functions while retaining much of the customer base. The lease burden alone creates an opportunity if locations can be consolidated. Eurocell's reported net debt of £93.7m versus pre-IFRS 16 debt of £28.1m highlights just how much of the capital structure is lease related.

The manufacturing side is arguably even more interesting. Eurocell is the UK's leading rigid PVC profile supplier, with a significant recycling operation and meaningful market share. Those assets could be attractive to a strategic buyer seeking UK scale, particularly one that already possesses a distribution network.

The challenge is identifying the obvious acquirer. Most of the large UK building-products distributors either do not have a strong window-and-door manufacturing presence or have focused elsewhere. A private-equity buyer may actually be the more realistic candidate because the story lends itself well to operational improvement:

- rationalise the branch footprint;
- consolidate facilities;
- improve purchasing;
- accelerate recycling efficiencies;
- improve manufacturing utilisation;
- optimise working capital.

That said, I would not make acquisition potential part of the thesis. The current management team is already doing many of the things an acquirer would likely do. The branch closures, recycling consolidation and cost programme are effectively a self-help version of the obvious synergy play.

My takeaway is that Eurocell probably *would* be worth more inside the right strategic owner, but the investment case does not need that outcome. The more interesting question is whether management can capture enough of those benefits themselves over the next two years. If they can, the shares look inexpensive without requiring a takeover.